

additional investors to sign on. Buffett was making his usual and carefully detailed pitch to his neighbors, Dr. and Mrs. Edwin Davis, when suddenly Dr. Davis interrupted him and abruptly announced they'd give him \$100,000. When Buffett asked why, Davis replied, "Because you remind me of Charlie Munger."¹⁴

Even though both men grew up in Omaha and had many acquaintances in common, Buffett and Charlie did not actually meet until 1959. By that time, Charlie had moved to southern California. When he returned to Omaha for a visit when his father died, Dr. Davis decided it was time the two young men met, and brought them together for dinner at a local restaurant. It was the beginning of an extraordinary partnership.

Charlie, the son of a lawyer and grandson of a federal judge, had established a successful law practice in Los Angeles, but his interest in the stock market was already strong. At the first dinner, the two young men found much to talk about, including stocks. From then on, they communicated often, with Buffett frequently urging Charlie to quit law and concentrate on investing. For a while, Charlie did both. In 1962, he formed an investment partnership, much like Buffett's, while maintaining his law practice. Three very successful years later, he left the law altogether, although to this day he has an office in the firm that bears his name.

We will briefly examine the performance history of Charlie's investment partnership in Chapter 5. For now, it's revealing to note that his partnership in Los Angeles and Buffett's in Omaha were similar in approach; both sought to purchase at some discount to underlying value and both had outstanding investment results. It is not surprising, then, that they bought some of the same stocks. Charlie, like Buffett, began buying shares of Blue Chip Stamps in the late 1960s, and eventually became chairman of its board. When Berkshire and Blue Chip Stamps merged in 1978, Charlie became Berkshire Hathaway's vice chairman.

The working relationship between Charlie and Buffett was not formalized in an official partnership agreement, but it has evolved over the years into something perhaps even closer and more symbiotic. Even before Charlie joined the Berkshire board, the two made many investment decisions together, often conferring daily; gradually their business affairs became more interlinked.